

Unit – I

ACCOUNTING FOR MANAGERS (AFM)

Financial Accounting- Concept, Importance and Scope, Accounting Principles, Accounting cycle, Journal, Ledger, Trial Balance, Preparation of Final Accounts with Adjustments.

1.1 History of Accounting: Accounting is as old as civilization itself. From the ancient relics of Babylon, it can be well proved that accounting did exist as long as 2600 B.C.

However, in modern form accounting based on the principles of Double Entry System, which came into existence in 15th Century, Fra Luka Paciolo, a mathematician published a book “De Competence Scriptures” in 1494 at Venice in Italy. This book was translated into English in 1543. In this book he covered a brief section on “Book-Keeping”.

Origin of Accounting in India: Accounting was practiced in India thousand years ago and there is a clear evidence for this. In his famous book “Arthashastra” Kautilya dealt with not only politics and economics but also the art of proper keeping of accounts. However, the accounting on modern lines was introduced in India after 1850 with the formation of Jointstock companies in India.

Accounting in India is now a fast developing discipline. The two premier Accounting Institutes in India viz “Institute Chartered Accountants of India and the “Institute of cost and works Accountants of India are making continuous and substantial contributions.

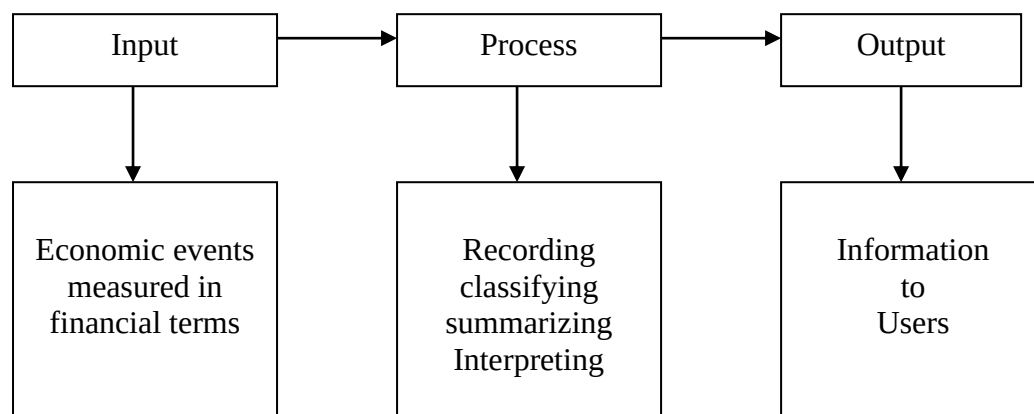
1.2 Introduction to Book-Keeping and Accounting: The main aim of a business is to earn profit for earning profit, the businessman buys and sells goods. He purchases goods in one market at certain price and sells them in another market at a higher price. He requires some capital to start the business. He constructs a building for his shop or takes a shop for rent. He purchases the necessary assets like furniture, fixtures; show cases, machinery etc for use in the business. In carrying on business he has to pay expenses like salaries, wages, rent, postage etc. Every day he receives cash from his customers and pay cash to his suppliers. All these business dealings are called “Business transactions” . It is not possible for a human beings to remember all these business transactions which occur at different places and at

times orally. The memory of human beings is limited. This is true in the case of every businessman. Hence, businessman must maintain a note or dairy or register or a set of books in which details of business transactions have to be recorded. Besides, the businessman will be anxious to know at the end of the year whether he has made profit or loss and what is his financial position on a particular date. This information can be had only when business transactions are recorded, classified and summarized properly. In order to achieve the above purposes it would be necessary to record business transactions a according to a well devised system. Book-keeping or accounting is the name given to such a system.

Meaning of Book-keeping: According to Vickery *“Book-keeping is an art of recording day-today business transactions in a set of books in a most scientific manners”*

Book-Keeping includes recording in Journal, posting to ledger and balancing of accounts. All the records before the preparation of the trial balance is the Whole-subject matter of Book-keeping. The work of Book-keeping is usually entrusted to Junior employees who, are called “Book-Keepers”.

Meaning of Accounting: The American Institute of Certified public accountants has defined accounting as “The art of recording, classifying and summarizing, in a significant manner and in terms of money, transactions, and events which are of a financial character and interpreting the results thereof”



1.3 PROCESS OF ACCOUNTING:

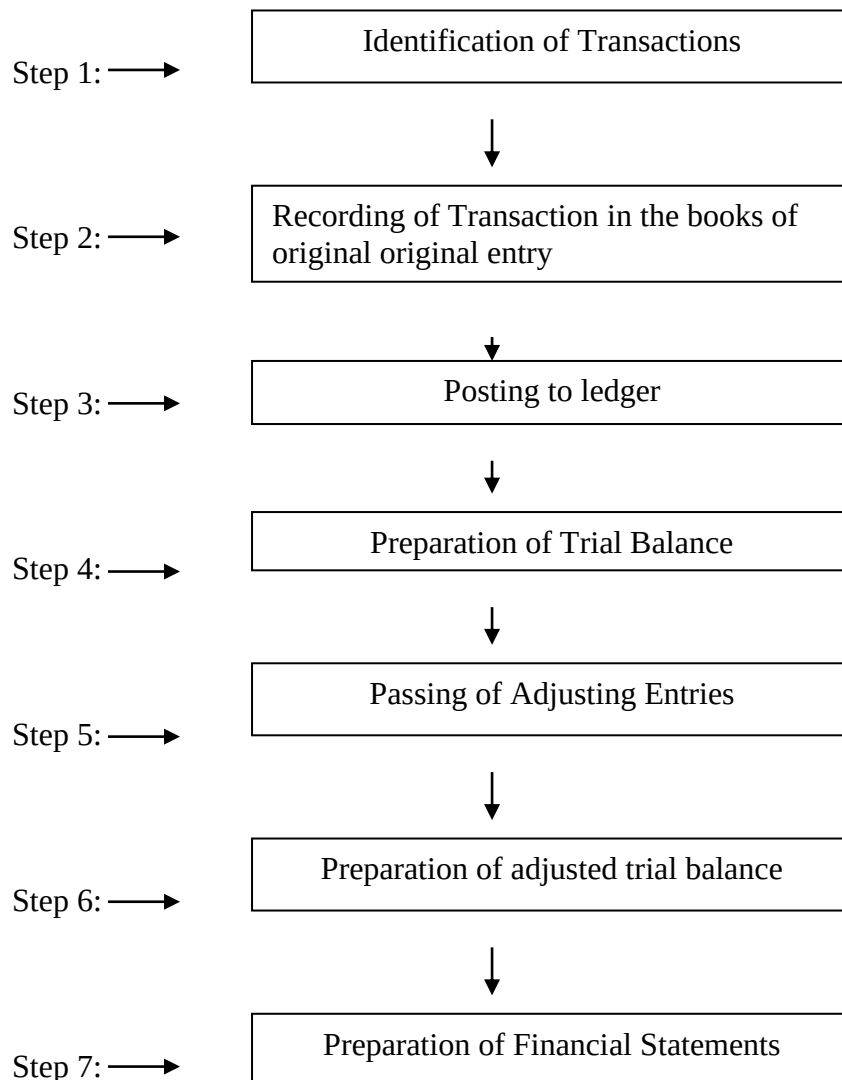
(a). Recording: It is concerned with the recording of financial transactions in an orderly manner, soon after the transaction takes place.

(b). Classifying: It is concerned with the systematic analysis of the recorded data so as to accumulate the transactions of similar type at one place.

(c). Summarizing: It is concerned with the preparation and presentation of the classified data in a manner useful to the users.

(d). Interpreting: The accountants should interpret the financial statements in a manner useful to the users, so as to enable the users to make proper decisions out of alternative courses of action.

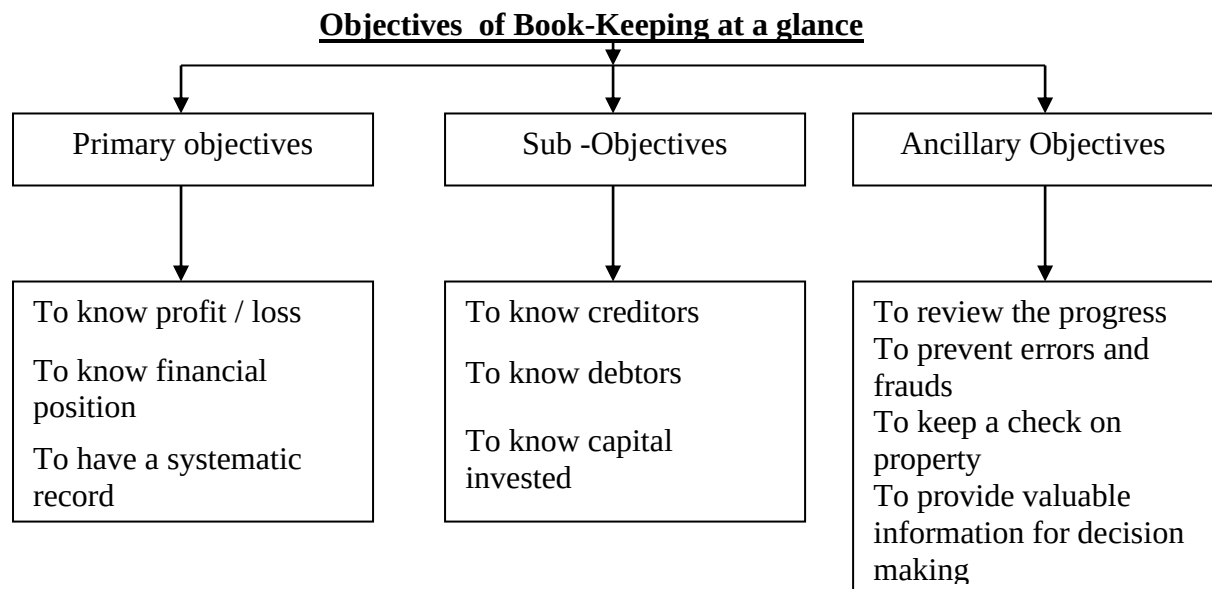
ACCOUNTING PROCESS:



1.4 Objectives of Accounting: The following are the main objectives of Accounting:

1. To record the business transactions in a systematic manner.
2. To determine profit or loss of the accounting period.
3. To know the financial position of a firm at the close of the financial year by way of preparing balance sheet.

4. To facilitate management control.
5. To have important information for legal and tax purposes.
6. To provide requisite information to different parties, like owners, creditors, employees, bankers, Government etc.



1.5 Accounting Principles: The accounting is the language of business through which normally a business house communicates with the outside world.

In order to make this language intelligible and commonly understood by all, it is necessary that it should be based on certain uniform, scientifically laid down standards, these standards are termed as accounting principles.

Accounting principles may be defined as those rules of action or conduct which are adopted by the accountants universally while recording accounting transactions. “They are a body of doctrines commonly associated with the theory and procedures of accounting, serving as an explanation of current practices and as a guide for selection of conventions or procedures where alternatives exist.

1. BASIC ACCOUNTING CONCEPTS AND CONVENTIONS:

Accounting Concepts: Accounting concepts are the basic assumptions or conditions upon which the accounting is based. They are called as accounting postulates. Various accounting concepts are.

(i) Concept of Separate Entity/ Business Entity:

In the eyes of accounting, a business is treated as a separate entity from its proprietor(s)/owner(s). It may seem unreasonable to consider a business affairs strictly free from the impact of owner's private affairs. This concept is applicable to all forms of business organizations either sole proprietorship or partnership business. Though the sole proprietor or partners are not considered as the separate entity in the eyes of law, but they are considered as separate entities for accounting purposes. Even the proprietor is regarded as a creditor to the extent of the capital he contributed to the business and the capital is considered as business liability to the proprietor.

(ii) Going Concern Concept:

According to this concept, a business is assumed to continue for a long period of time. For this reason the accountant while valuing the asset does not take into account the forced sale value of the asset. Also, he charges depreciation on fixed assets on the basis of their expected lives rather than their market values.

(iii) Dual Aspect/ Balance sheet / Accounting Equation concept:

- According to dual aspect concept, every transaction is taking place in a business has double/two fold effect. As every business transaction results in receiving some benefit of some value and giving of some other benefit of equal value, a record is made of the dual or two aspects of each transaction.

$$\text{Capital} + \text{Liabilities} = \text{Assets} \quad (\text{or}) \quad \text{Capital} = \text{Assets} - \text{Liabilities}$$

- The terms Assets refer to the resources owned by the business. 'Liabilities' also called as 'outsider's equity' refer to the claim of the outsider parties such as creditors, debenture holders etc., whereas, capital also referred as owner's equity is the claim of the owners against the assets of the business.

➤ The equation,

$\text{Assets} = \text{Capital} + \text{Liabilities}$, is also called as “Accounting Equation”

The above equation can also be written as.

$\text{Assets} = \text{Owner's equity} + \text{Outsider's equity}$

i.e., $\text{Assets} = \text{Equities}$

$[\text{Equities} = \text{Owner's equity} + \text{Outsider's equity}]$

iv. Money measurement Concept

This concept signifies that, accounting considers only those transactions that can be expressed in monetary terms and a record of only those transactions is maintained. Nonmonetary events i.e., the events that cannot be expressed in monetary terms is not recorded in accounting records. Nonmonetary events include retirement of sales manager, having a team of dedicated and trusted employees. HR policy of management, working conditions of the workers etc. Money measurement concept plays a vital role in business as it facilitates in understanding the business affairs in a much better way.

V. Cost Concept

According to this concept, an asset is entered in the accounting books at the price paid to acquire it and this cost is only considered as the basis for all the subsequent accounting for that asset. Assets are not recorded at their market values as these values keep on fluctuating according to market trends.

Cost concept does not imply that the asset is always recorded at its acquisition cost but it is taken as a basis for all future accounting for that asset. It means that the asset is recorded at the cost at the time of its purchase but it may systematically be reduced in its value by charging depreciation.

vi. Accounting Period Concept.

Even though, according to going concern concept, it is assumed that a business continues for a long period of time, it is not possible for the measurement of its income and its financial position after a long time.

vii. Periodic Matching of costs and Revenue concept or Matching Concept

The matching concept is based on the accounting period concept. According to this concept, a business in order to achieve its prime objective of profit maximization should always maintain a match between the costs (expenses) and revenues within the accounting period.

viii. Realization Concept

According to this concept, revenue is said to be made only when a sale is made, but not when the sale proceeds are collected. In other words, revenue is not usually recognized until it is considered to have been realized.

For example, a company sells goods to a customer on March 28, 2019 for Rs.50000 and realizes that amount on April 5, 2019 (the accounting period being from April 1 to March 31). Now according to the realization concept, the sales revenue is recognized for the year 2018-2019 as the sales were made during the accounting period 2018-2019.

2. ACCOUNTING CONVENTIONS:

Accounting conventions are those customs and traditions which guide the accountant in preparing the accounting statements. The following are the various accounting conventions.

i. Consistency Convention

According to this convention, the accounting practices and methods should remain consistent (constant) from one accounting period to the other. Any changes in the accounting practices and methods does not facilitate in assessing the true financial position of the company. For example, if the company adopts straight line method in one year and reducing balance method in another year, it becomes difficult to compare the outcomes of two periods and trace out the true financial position. If any change in accounting practices and methods becomes necessary, then the change and its effect should be stated clearly.

ii. Convention of Materiality

This convention signifies that a record of only those transactions is made that are material (important) in nature. A transaction is considered material/ important when it influences the decision-making. Recording immaterial transactions may overburden the accounting with unnecessary details. In this connection Kohler says. “Materiality means the characteristic

attaching to a statement, fact or item whereby its disclosure or method of giving its expression would be likely to influence the judgment of a reasonable person.

iii. Convention of Full Disclosure

According to this convention, all the material facts should be disclosed in financial statements. This means that the accounting reports should disclose full and fair information that is useful for proprietors, present and potential creditors, investors etc.

iv. Convention of Conservatism

This convention signifies the policy of playing safe. According to this convention, while recording the transactions, the accountant follow the rule, “Anticipate no profit but provide for all possible losses”. This means that all possible or expected losses should be provided for but unearned or unrealized profit should be left out. Examples of the usage of this convention are, valuation of stock/ inventory at cost price or market price whichever is less, making provision for bad and doubtful debts. The rationale behind this convention is that the financial position of the company should not be shown than what it is.

3. Generally Accepted Accounting Principles (GAAP)

Generally Accepted Accounting Principles (GAAP) may be defined as those rules of action or conduct which are derived from experience and practice and when they prove useful, they prove useful, they become accepted as principles of accounting. According to the American Institute of Certified Public Accountants (AICPA), the principles which have substantial authoritative support became apart of the generally accepted accounting principles.

The GAAP depends on how well they meet the following three criteria,

1. **Relevance:** A principle is relevant to the extent, it results in information that is meaningful and useful to the user of the accounting information.
2. **Objectivity:** Objectivity connotes reliability and trustworthiness. A principle is objective to the extent, the accounting information is not influenced by personal bias or judgment of ascertaining the correctness of the information reported.

3. **Feasibility:** A principle is feasible to the extent, it can be implemented with out much complexity or cost.

These accounting principles are divided into

1. Basic assumptions of accounting
2. Basic principles of accounting.

1. Basic Assumptions of Accounting: The basic assumptions are like foundation pillars on which the structure of accounting is based. The four basic assumptions are as under,

- i. Accounting entity assumption
- ii. Monetary unit assumption
- iii. Accounting period assumption and
- iv. Going concern assumption.

i. Accounting Entity Assumption: A business is treated as a separate entity that is distinct from its owner and all other economic proprietors.

For example, in case of proprietary concern, though the legal entity of the business land its proprietor is the same, for the purpose of accounting they are to be treated as separate for each other.

The assumptions requires that for accounting purposes of distinction should be made between

- Personal transactions and business transactions and
- Transactions of one business entity and those of another business entity.

ii. Monetary Unit Assumption: Only those transactions which are capable of being expressed in terms of money are included in the accounting records. In other words, the information which cannot be expressed in terms of money is not included in accounting records.

iii. Accounting Period Assumption: It is also known as periodicity assumption or time period assumption. According to this assumption, the economic life of an enterprise is artificially split into periodic intervals which are known as accounting periods, at the end of

which an income statement and position statements are prepared to show the performance and financial position.

iv. Going Concern Assumptions: It is also known as continuity assumption. According to this assumption, the enterprise is normally viewed as a going concern i.e., continuing in operation forever until the business is stopped. It is because of the going concern assumptions,

- That the assets are classified as current assets and fixed assets.
- The liabilities are classified as short-term liabilities and long term liabilities
- The unused resources are shown as unutilized costs (or unexpired costs) as against the breakup values in case of liquidating enterprise. Accordingly, the earning power and not the breakup value evaluates the continuing enterprise.

This concept is followed and this fact not be disclosed in the financial statement. In case this concept is not followed, the fact should be disclosed in the financial statement together with reasons.

2. Basic Principles of Accounting: Basic principles of accounting are essentially, the general decision rules that govern the development of accounting techniques. These principles guide how transactions should be recorded and reported. The following are the basic principles of accounting.

- i. Revenue recognition principle
- ii. Historical cost principle
- iii. Matching principle
- iv. Fully disclosure principle
- v. Objective principle
- vi. Consistency principle
- vii. Conservation principle
- viii. Materiality principle

i. Revenue Recognition Principle: The principle is mainly concerned with the revenue being recognized in the income statement of an enterprise. Revenue is the gross inflow of

cash, receivable or other consideration arising in the course of ordinary activities of an enterprise from the sale of goods or rendering of services.

ii. Historical Cost Principle: According to this principle, an asset is recorded at the prepaid to acquire it at the time of its acquisition and the cost becomes the basis for the accounts during the period of acquisition and subsequent accounting periods. If nothing is paid to acquire an asset, the same will not be shown as an asset in the books of accounts.

iii. Matching Principles: According to this principle, the expenses incurred in an accounting period should be matched with the revenues recognized in that period example, if revenue is recognized on all goods sold during a period, cost of those goods sold should also be charged to that period. This concept is basically an accrual concept since, it disregards the timing and the amount of actual cash inflow or cash outflow and concentrates on the occurrence. (i.e, accrual)of revenue and expenses.

iv. Full Disclosure Principle: According to this principle, the financial statements should act as means of conveying and not concealing. The financial statements must disclose all the relevant and reliable information which they purport to represent, so that the information may be useful for the users. The practice of appending notes to the financial statements has developed as a result of the principle of full disclosure.

v. Objectivity Principle: According to this principle, the accounting data should be definite, verifiable and free from personal bias of the accountant. In other words, this principle requires that each recorded transaction/ event in the books of account should have an adequate evidence to support it.

vi. Consistency Principle: According to this principle, what ever accounting practices or policies are continuously followed they should be followed from one accounting period to another to achieve compatibility example, if the inventory is valued on LIFO basis , this basis should be followed year after year. The users should be informed of the accounting policies employed in the preparation of the financial statements, any change in this policies and the effect of such changes.

vii. Conservation Principle: According to this principle, the principle of “Anticipate no Profit but provide for all probable losses should be applied”. The valuation of stock-in-trade at a lower of cost is net realizable value and making the provisions for bad and doubtful debts are the applications of this principle. In other words, the principle of conservatism requires that in the situation of uncertainty and doubt, the business transactions should be recorded in such a manner that the profits and assets are not over stated.

The estimation of probable losses is a subjective judgment and thus, this principle conflicts with the principle of objectivity. Now-a-days, the conservatism principle is being replaced by the prudence principle which requires that the conservation principle should be applied only in circumstances in which great uncertainty and doubt exists.

viii. Materiality Principle: This principle is basically an exception to the full disclosure principle. The full disclosure principle requires that all facts necessary to ensure that the financial statements are not misleading, must be disclosed, whereas the materiality principle requires that the items or events having an insignificant economic effect or not being relevant to the user’s need not be disclosed. According to this principle, all relatively relevant items, the knowledge of which might influence the decision of the users of the financial statements, should be disclosed in the financial statements.

1.6 Difference between India and U.S. GAAP

Basis of Difference	India	U.S.
1. Financial Statements	Prepared in accordance with the presentation requirements of schedule VI of the Companies Act, 1956.	Not required to be prepared under any prescribed format, provided they comply with the disclosure requirements of the U.S. accounting standards.
2. Investments in Own shares	Investments in own share is expressly prohibited, but buy-back of own shares is permitted.	Permitted, and shown as a reduction from shareholder’s equity.
3. Goodwill	Purchased goodwill shall be capitalized and amortised over the expected period of benefit or	Treated as any other intangible asset and is capitalized

	against available capital reserves. No standard except AS-10, fixed assets and AS-14, accounting for amalgamations can be written off over 5 years.	
4. Assets and Liabilities	No mandatory disclosure of current and long term components	Mandatory disclosure of current and long-term components separately. Current component normally refers to one year of the period of the operating cycle.
5. Foreign Currency Transactions	Exchange fluctuations on liabilities incurred for fixed assets can be capitalized	Exchange gain/ loss is taken to the income statement. The concept of capitalization of exchange fluctuations arising from foreign currency liabilities incurred for acquiring fixed assets does not exist.

1.7 Importance/Advantages of Accounting:

The following are the advantages of accounting:

1).Maintenance of Business records: All financial transactions are recorded in a systematic manner in books of Accounts so that there is no need to rely on memory.

2)Preparation of Financial Statements: Systematic records enable the accountant to prepare financial statements. Trading and profit and loss account to calculate profit or loss during a particular accounting period and balance sheet to state the financial position of the business on a particular date.

3) Comparison of Results: Systematic maintenance of business records enables the accountant to compare profit of one year with those of earlier years and to know the significant facts about the changes. This helps the business to plan its future affairs accordingly.

4) Decision Making: The accountant helps the management by providing the relevant information for solving the day to day problems of business.

5) Good Evidence in court: Records of business transactions are treated as good evidence in the court of Law.

6) Planning and control of operations: Planning operations like sales, production, cash requirements for next accounting period are achieved with the help of accounting information and estimates can be prepared based on that information.

7) Provides Information to Interested Groups: Various interested parties of groups like Owners creditors, management, employees, government, consumers are interested in accounting information related to various aspects viz., sales, production, profit etc. Accounting provides suitable information to such interested parties.

8) Taxation problems: In respect of taxation matters, systematic maintenance of records is very much required.

9) Value of Business : Accounting records kept in a proper way enables a business unit to determine the purchase or sale price in a Simple manner.

10) Help to insolvent Persons: An insolvent person is able to explain the past transactions without difficulty if proper accounting records are maintained.

1.8 Limitations of Accounting

1. **Incomplete Information:** Accounting records only those transactions which are financial in nature. It records only quantitative aspect of our transactions. Transactions of non financial nature do not find place in accounting. Certain very important information such as competency of the management, change in the economic and political situations, government policies, competitions in the market and change in consumers preference etc., are not recorded in accounting, though they affect the financial soundness of the business.
2. **Inexactness:** Accounting assesses profit or loss of the business on the basis of both the real and assumed estimates. Accounts make the valuation of stock, determine the method of depreciation and maintain various reserves and provisions in any way, they like. Different firms have their own different methods, so the results of the business will change with the change in the practice.

3. **Showing Valueless Assets** : There are certain assets which do not have real value but they are shown in our balance sheet. These assets are goodwill, patents, preliminary expenses, discount on issue of shares etc. Showing these assets in the books of accounts makes its result doubtful.

4. **Manipulation**: Accounting results are based upon the information supplied to it. The management may be biased and feed manipulative information to prove its point of view.

Accountants can show the result of business, as desired by the owners of the business. This may be done by omitting certain accounts, increasing or decreasing the amounts of certain accounts, under-estimating or over-estimating the value of assets. For example, if purchase of furniture is shown as purchases of goods the profit will reduce.

5. **Ignorance about the Present Value of Business**: While maintaining books of accounts we following going concern concept i.e., the business will be carried on for indefinite period. With this principle in view, we show the value of our assets in the balance sheet at its book value not at the market value. Sometimes certain assets may be valueless in the market but we continue to show it in the books of accounts. Accounting, in this way, fails to show the present sale value of the business.

1.9 Scope of Accounting

1. **Installation of Accounting System**: First of all, one accounting method is developed for the use in business. The accountant of the concern studies the nature and possible transactions of the business and selects the form and kind of records and accounts necessary for that business. Then he decides the accounting system to be followed. In practice, selection is to be made out of double entry system, single entry system and the Indian accounting system.

2. **Accounting of Business Transactions**: After installing the accounting system, the business transactions are recorded in different books. Every business concern keeps a number of books and accounts according to its need and convenience. Generally, the double entry system is used for recording the transactions.

3. **Preparation of Annual Accounts**: The accountant of the business house prepares annual accounts at the end of each accounting year. Annual accounts are also termed as final

accounts and include the preparation of profit and loss account for the accounting period and balance sheet as on the last date of the accounting period.

The combined effect of all the above three points is that a network of an accounting system, a set of books and recognized documents come into being and every financial transaction is recorded therein whenever it takes place in the life of the business. This kind of accounting is called “Financial Accounting;”

1.10 BRANCHES OF ACCOUNTING:

Accounting is classified into three different branches.

1. Financial Accounting: Financial accounting also known as historical accounting is the original form of accounting. It is mainly concerned with the preparation of financial statements for the users like creditors, shareholders, debenture holders, banks and financial institutions. It prepares the financial statements like income statement, balance sheet that show the business operations in a given period of time.

2. Cost Accounting: Cost accounting is a branch of accounting that deals with the classification, recording, allocation, summarization and reporting of current and prospective costs and analyzing their behaviors. Cost accounting is frequently used to facilitate internal decision-making and provides tools with which management can appraise performance and control costs of doing business.

3. Management Accounting: Management Accounting is a branch of accounting that facilitates the management in discharging its function and making decisions. In this context, Chartered Institute of Management Accountants, London says, Management Accounting is the application of professional information in such a way as to assist the management in the formation of policies and in the planning and control of the operations of the Management accounting includes various areas such as cost accounting, Budgetary control, Inventory control, Statistical methods, Internal Auditing etc.

1.11 PRINCIPLES OF DOUBLE ENTRY SYSTEM OF ACCOUNTING

The principles of double entry system of accounting are explained below:

1. This system tells that every transaction has a dual impact meaning they affect at least two parties. So while recording the transaction one party must be debited and the other must be credited. This is the basis of accounting equation i.e. $\text{assets} = \text{Liabilities} + \text{Capital}$.
2. In accountancy, the double-entry bookkeeping (double-entry accounting) system is the basis of standard system used by businesses and other organizations to record financial transactions.
3. Each transaction results in at least one account being debited and at least one account being credited, with the total debits of the transaction equal to the total credits.
4. In this system the total assets are equal to total liabilities.

Rules of Debit and Credit

Every accounting transaction has got two sides, the 'debit' and a 'credit'. These are the two signs used in accounting to present and report the financial effect of every transaction. All the business transactions must have debit and its corresponding credit of the same amount.

The transactions in the journal are recorded on the basis of the rules of debit and credit.

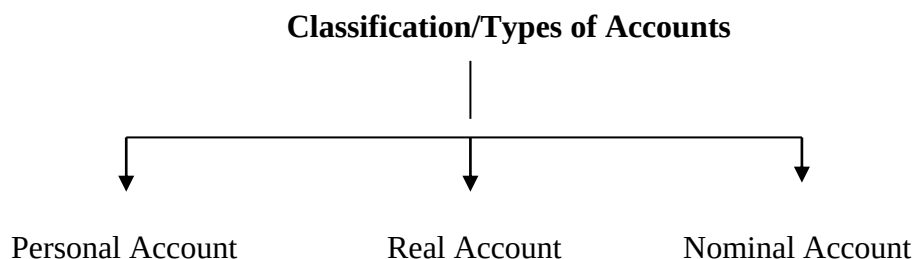
Debit is taking money and **credit** is giving.

Debit represents increases in value of assets and expenses and decreases in income, liabilities and equity. **Credit** represents increases in liabilities, equity and income and decreases in assets and expenses.

Classification/Types of Accounts

The transactions in the journal are recorded on the basis of the rules of debit and credit. For this purpose business transactions have been classified into three categories:

1. Transactions relating to persons (Personal Accounts).
2. Transactions relating to properties and assets (Real Accounts).
3. Transactions relating to incomes and expenses (Nominal Accounts).



1. **Personal Accounts:** Personal account is an account of a person. A person can be a natural person such as people like Suresh's account, Rahul's account etc., an artificial person such as firms, organizations and institutions and a representative person such as debtors and creditors. Since a person, be it a natural, artificial or representative, can be the receiver of benefits or giver of benefits.

Golden Rules: **Debit the Receiver,
Credit the Giver.**

This rule states that whenever a person receives the benefits is debited by the amount of the benefit received. On the contrary, whenever the person gives the benefits is credited by the amount of benefits given.

For example, if cash is paid to Mahesh (Mahesh is a natural person), his account (Mahesh's account) is debited since he is the receiver of the benefit (cash). If the cash is received from City Enterprises (City Enterprises is an artificial person), its account (City enterprises account) is credited because it is the giver of benefits (cash).

2. **Real Accounts:** Real account is a record of an asset. An asset can be current asset such as cash, a fixed asset such as building and intangible asset such as goodwill. An asset is a current, fixed or an intangible asset, it can either come in the business through its purchase or go out of the business through its sales.

Golden Rules: **Debit What Comes in,
Credit What Goes Out.**

This rule states that whenever some benefit in the form of asset comes into the business through its purchase, its (asset) account is debited. Conversely, whenever some benefit in the form of asset goes out of the business through its sales, its (asset) account is credited. **For example,** if cash is invested in the business, cash (current asset) account is debited by the amount of cash. If furniture is purchased for cash, furniture (fixed asset) account is debited because it comes into and cash (current asset) account is credited because it goes out from the business in exchange for furniture.

3. **Nominal Accounts;** Nominal account is a record of expense or loss or income or gain. An expense or loss is the sacrifice of benefits in exchange for service used and an income or gain is the benefit earned in exchange for service rendered.

Golden Rule: **Debit all Expenses or Losses,**
 Credit all Income or Gains.

This rule states that whenever some benefit is sacrificed in exchange for service used (expense made or loss suffered), its (expense) account is debited. On other hand, whenever some benefit is earned in exchange for service rendered, its (income or gain) account is credited. **For example,** when salary is paid, an expense is made by the business, therefore salary account is debited. On the other hand, when interest is received, an income is earned by the business, hence, interest received account is credited.

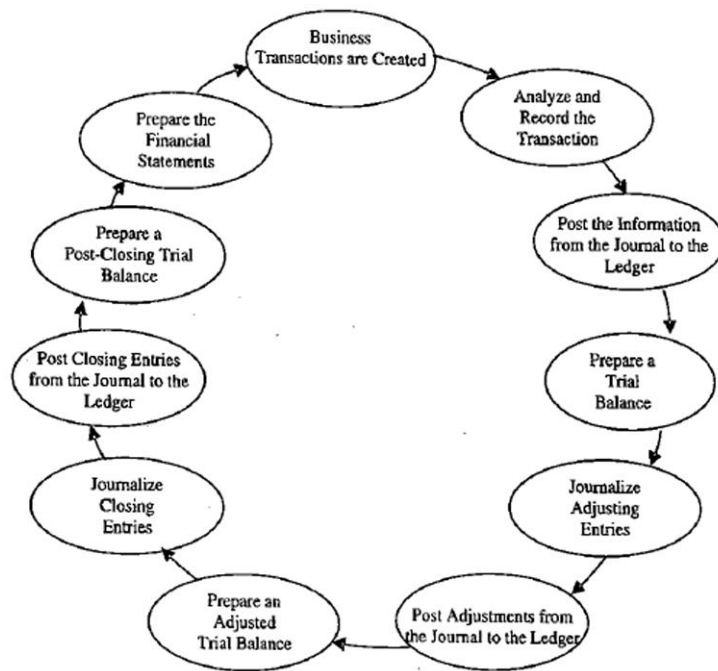
Example: From the following transactions find out the nature of account state which account should be debited and which account should be credited.

1. Rent paid.
2. Salaries paid.
3. Interest received.
4. Dividends received.
5. Furniture purchased for cash.
6. Machinery sold.
7. Outstanding for salaries.
8. Telephone charges paid.

1.12 ACCOUNTING CYCLE

Introduction

After identifying and measuring the financial transactions, the accounting cycle begins. An accounting cycle is a complete sequence beginning with the recording of the transactions and ending with the preparation of the final accounts.



Accounting Cycle

When a businessman starts his business activities, he records the day-to-day transactions in the journal. From the journal the transactions move further to the ledger where accounts are written up. Here, the combined effect of debit and credit pertaining to each account is arrived at in the form of balances.

To prove the accuracy of the work done, these balances are transferred to a statement called trial balance. Preparation of trading and profit and loss account is the next step. The balancing of profit and loss account gives the net result of the business transactions. To know the financial position of the business concern balance sheet is prepared at the end.

These transactions which have completed the current accounting year, once again come to the starting point – the journal - and they move with new transactions of the next year. Thus, this cyclic movement of the transactions through the books of accounts (accounting cycle) is a continuous process.

Steps Involved in Accounting Cycle

Following steps are involved in accounting cycle:

Step 1: Business Transactions are Created: Source documents are created: receipts, bills and cheques.

Step 2: Analyze and Record the Transaction: Information is placed in the journal.

Step 3: Post the Information from the Journal to the Ledger: Information from the journal is recorded into the general ledger (book in which accounts are maintained).

Step 4: Prepare a Trial Balance: The trial balance is a listing of balances in the accounts of the general ledger in order of assets, liabilities, owner's equity, revenue and expense accounts.

Step 5: Journalize Adjusting Entries: There are no source documents. Adjusting entries are made at the end of the accounting period to match the proper revenue with expense in that period.

Step 6: Post Adjustments from the Journal to the Ledger: Adjusting entries from the journal are recorded into the general ledger.

Step 7: Prepare an Adjusted Trial Balance: The adjusted trial balance reflects only adjusting entries. If an error has occurred, it was made in the posting of adjusting entries, because the trial balance was prepared at the end of the month.

Step 8: Journalize Closing Entries: Close all temporary (nominal) accounts. These accounts begin the next account period at zero. They have no balance at the beginning of a new period. Temporary accounts will be closed out to zero at the end of the period allowing the account to start the next period without previous accumulated funds.

Step 9: Post Closing Entries from the Journal to the Ledger: Closing entries from the journal are recorded into the general ledger.

Step 10: Prepare a Post-Closing Trial Balance: Post closing trial balance will show only permanent accounts. Permanent accounts are accounts that are not closed at the end of the period. These are balance sheet accounts (except for withdrawals). They carry current balances as long as the business continues.

Step 11: Prepare the Financial Statements/Terminal Accounts: The two basic statements, i.e., the income statement and balance sheet are prepared.

1.13 Basic Accounting/ Systems of Accounting:

Basically, accounting is based on three systems, they are,

(i) Cash Basis/Cash System of Accounting: Under cash system of accounting, an entry is made only when cash is paid or received. When a payment is due or when a payment is made through receipt, it is not recorded in the books of account. In other words, expenses are recognized only when they are paid in cash and revenues are not recognized and recorded until they are received in cash. This system of accounting is mainly used by the professionals

like Doctors, Lawyers and non-trading concerns. The drawback of this system is that, it does not give true picture of the company's financial position at a specified date because it does not make a complete record of financial transactions in an accounting period.

(ii) Accrual Basis/Mercantile System of Account: In this system, income/revenue and expenses recognized on the basis of their occurrences in or actual receipts and payments. Accounts made accrual basis takes into account all the transactions related to given accounting period. While preparing financial statements, it considers even outstanding incomes outstanding expenses. This system of accounting with compared to cash basis gives a clear picture of company financial position as it makes a complete record of financial transactions in an accounting period. The company recommends all the companies to maintain their account on mercantile or accrual basis.

(iii) Mixed Basis/ Mixed System of Accounting: This system of accounting is based on accounting convention of conservatism. It is combination of both cash and accrual systems of an accounting , incomes are recorded on the cash basis expenses are recorded on the accrual basis. In other words it is a conservative principle, where in all the experience whether actually paid or not is considered, whereas the income which is received is considered

1.14 JOURNAL

Meaning and Definition of Journal

The word '**journal**' has been derived from the **French** word '**JOUR**' meaning **daily records**. The journal is an important book under the double-entry System. Journal is the first book of systematic record of .the financial transactions of the business. It is called the **book of original or prime entry**, because its financial transactions are first of all recorded in this book as and when they take place. The journal is prepared with the/help of memorandum or waste book, which is a rough' and temporary record of the financial transactions of the business. The recording of a transaction in the journal is called **journalizing**. The record of a business transaction in journal is called a **journal entry**.

According to Eric. L. Kohler, "The journal is a book of original entry in which arc recorded transactions not provided for in specialized journals."

Proforma of Journal

Journal has five columns which are discussed as follows:

Proforma of Journal

Date	particulars	L.F.	Dr.	Cr.
(1)	(2)	(3)	(4)	(5)

1. **Date:** The date on which the transaction was entered is recorded here, al
2. **Particulars:** The two aspects of transaction are recorded in this column, i.e., the details regarding accounts which have to be debited and credited.
3. **L.F.:** It means Ledger Folio. The transactions entered in the journal are later on posted to the ledger.
4. **Amount (Debit):** In this column, the amount to be debited is entered.
5. **Amount (Credit):** In this column, the amount to be credited is shown.

One simply know that '**left hand side is debit**' and the '**right hand side is credit**'.

Steps in Journalizing

The various steps to be followed in journalizing business transactions are as follows:

Step 1: Ascertain what accounts are involved in a transaction.

Step 2: Ascertain what the nature of the accounts involved is.

Step 3: Ascertain which rule of debit and credit is applicable for each of the accounts involved.

Step 4: Ascertain which account is to be debited and which is to be credited.

Step 5: Record the date of transaction in the 'date column'.

Step 6: Write the name of the account to be debited, very close to the left hand side (i.e., the line demarcating the 'date column' and the 'particulars column') along with the abbreviation 'Dr' on the same line against the name of the account in the 'particulars column' and the amount to be debited in the 'debit amount column's against the name of the account.

Step 7: Write the name of the account to be credited in the next line preceded by the word 'To' at a few spaces towards right in the 'particulars column' and the amount to be credited in the 'credit amount column' against the name of the account.

Step 8: Write 'Narration' (i.e., a brief description of the transaction) within brackets in the next line in the 'particulars column'.

Step 9: Draw a line across the entire 'particulars column' to separate one journal entry from the other

JOURNAL-EXERCISES:

1. Journalize the following transactions in the books of *Geya Keerthi*.

	Rs.
2007 Jan 1 Started business with cash	40,000
2 Purchased goods for cash	8,000
3 Sold goods for cash	7,000
5 Received cash from Murthy	1,000
18 Cash Paid to Murthy	500
21 Purchased goods from Y	14,000
31 Goods sold to Z	6,000

2. Journalize the following transactions in the books of *Srinivas*.

	Rs.
2008 March 1 Started business with	40,000
3 Bought goods from Prasad	32,000
6 Goods sold to Meena	12,000
11 Cash sales	5,000
13 Goods sold to Madan	5,000
19 Paid Prasad on account	3,000
24 Paid for Commission	1,000
31 Paid salaries	25,000

3. Journalize the following transactions.

1. Ram invest Rs. 10,000 in cash
2. He bought goods worth Rs. 2,000 from Shyam
3. He bought a machine for Rs. 5,000 from Lakshman on account
4. He paid to Lakshman Rs. 2,000
5. He sold goods for cash Rs. 3,000
6. He sold goods to A on account Rs. 4,000
7. He paid to Shyam Rs. 1,000
8. He received amount from A Rs. 2,000

4. Journalize the following transactions with narration.

	Rs.
2006 June 1 Keerthi started business with	1,00,000
6 Bought goods from Smitha	,000

7 Purchased goods for cash	3,000
10 Goods sold for cash	20,000
6 Goods sold Narmada	7,000
23 Prudhvi sold as machinery	10,300
30 Paid Rent	3,000

5. Journalize the transactions given below in the books of Prasad.

2009		Particulars	Rs.
April	1	Prasad Commenced business with a cash of	4,000
"	3	Cash sales	4,000
"	4	Bought Machinery	15,000
"	7	Sold Goods to Raju on credit	10,000
"	9	Purchased goods from Ramana on credit	8,000
"	10	Sold Goods to Gupta on credit	5,000
"	12	Paid for Stationery by cash	1,000
"	14	Carriage expenses by cash	500
"	15	Bought furniture for proprietor's residence and paid cash	7,000
"	17	Sold goods to Krishna for cash	3,000
"	22	Received Discount	800
"	24	Paid wages by cash	1,200
"	26	Sales by cash	15,000
"	27	Deposited cash with Bank	10,000
"	28	Received cash from Mahesh	1,500
"	29	Received Interest on loan from Viswanath	600

1.15 LEDGER

After all the transactions are journalized, the entries in the journal are transferred to the appropriate accounts in the Ledger to know the exact position of each account on every particular date. In journal the transactions pertaining to a particular person, asset, expense or income are recorded at different dates, Hence journal fails to bring together similar transactions. From the journal it is not possible to know the total purchases sales rent and salaries paid the amount due from each customer and amount payable to each supplier-etc. This limitation is overcome by ledger. Ledger is a book where the various accounts pertaining to a particular person, thing or service are grouped together in one place in the form of an account. It contains accounts for all the persons with whom the business deals, for

all the assets or things held by the business and for all the expenses incurred and incomes earned .by the: business: Ledger may be defined as a book which contains records of all transactions permanently in a summarized and classified form.

It is a book of final entry. All business transactions are first recorded in the journal and finally recorded in ledger. The process of transferring the transactions from journal to the ledger is called “Posting”. Ledger-is a main or principal or most important book of the business and hence called “King of Books of Accounts”.

When the size of the organization is very large and number of accounts are numerous, it is found necessary to maintain a separate ledger for customers accounts, suppliers accounts and for other accounts. Generally, the following three lands of ledgers arc maintained by such organizations:

1. Debtor’s ledger.
2. Creditor’s ledger.
3. General ledger

- 1. Debtors Ledger:** It may contain the accounts of all the customers to whom goods have been sold on credit. Entries in this ledger are made mostly from sales day books, sales returns book and cash book. This ledger is also called, customers ledger or sales ledger.
- 2. Creditors Ledger:** It may contain the accounts of all the suppliers from whom goods have been purchased on credit. Entries in this ledger are made mostly from purchase day books, purchase returns book and cash book. This ledger is also known as, suppliers ledger or purchase ledger.
- 3. General Ledger:** It may contain all residual accounts, mainly real and nominal accounts. This ledger is also called nominal ledger.

The main utilities of-a ledger are- summarized as under:

1. It provides complete information about all accounts in one book.
2. It enables to ascertain what the main items of revenues are.
3. It enables to ascertain what the main items of expenses are.
4. It enables to ascertain which, are the assets and its values.
5. It enables to ascertain which are the liabilities and its amounts.
6. It facilitates the preparation of final accounts.

Form of a Ledger: A ledger may be kept in the form of bound books, loose leaf sheets, purchased card sheets, floppy diskettes (in case computer is used) or any other like device.

Format of a Ledger: A ledger account can be prepared in the following format as shown in

Date	Particulars	J.Folio	Amount (Rs.)	Date	Particulars	J.Folio	Amount (Rs.)

- 1) **Date Column:** In this column, date of the transaction is recorded.
- 2) **Particulars Column:** This column is meant for the recording the details of the transactions. Every entry on the debit side of this column must be prefixed with the word “To” and on the credit side with word “By” on the debit side after the word “To” write name of the credit part of journal entry. On the credit side, after the word by write name of the debit part of the journal entry.
- 3) **J.F Column:** J.F stands for the page number of the journal from where the entries passed.
Amount Column: In this column the amount with which the account is debited or credited is written.

LEDGER POSTING

The process of transferring of the debits and credits, from the journal to the ledger accounts is called posting. Each amount entered in the debit column of the journal is posted by entering it on the debit side/column of an account in the ledger and each amount entered in the credit column of the journal is posted by entering it on the credit side/column of an account in the ledger. Posting from journal to the ledger accounts are necessary in order to know how transactions have changed the account balances.

PROCEDURE FOR POSTING

Procedure for Posting of an Account which has been Debited in a Transaction

- Step 1:** With the help of an index, open that page on which the concerned account appears.
- Step 2:** Enter the date of the transaction, in the “Date Column” on the debit side.
- Step 3:** Record the name of the account credited in the journal, in the “Particulars Column” on the debit side as “to (name of the account credited)”.
- Step 4:** Record the page number of the journal in the “Folio Column” on the debit side and in die journal, write the page number of the ledger on which a particular account appears in the “Ledger Folio Column”.
- Step 5:** Enter the relevant amount in the “Amount Column” on the debit side.

Procedure for Posting of an Account which has been credited in a Transaction

- Step 1:** With the help of an index, open that page on which the concerned account appears.

- Step 2:** Enter the date of the transaction, in the “Date Column” on the credit side.
- Step 3:** Record the name of the account debited in the journal in the “Particulars Column” on the credit side as “by (name of the account debited)”.
- Step 4:** Record the page number of the journal in the “Folio Column” on the credit side and in the journal, write the page number of the ledger on which a particular account appears in the “Ledger Folio Column”.
- Step 5:** Enter the relevant amount in the “Amount Column” on the credit side.

Points to be noted while preparing ledger accounts:

1. In this ledger, a separate account should be opened for each account appearing in journal.
For example, separate accounts may be opened for sales, purchases, sales returns, purchase returns, salaries, rent, cash etc.
2. For all the transactions relating to any particular account, only one account should be opened.
3. The name of the account should be written in the bold letters at the top and in the center of each account.
4. The concerned account that has been debited in the journal should also be debited in the ledger. However, a reference should be made of, the other account that has been credited in the journal.

For example, for salaries paid, the salaries account should be debited in the ledger, but reference should be given Of cash accounts that have been credited in journal.

5. The word Dr (Debit) should be written at the left hand top corner of each account. To indicate the debit side of the account and the word Cr (Credit) should be written at the right hand top corner of; each account to indicate to the credit side of the account.
6. The journal entries should be posted to the ledger accounts in the order of their dates.
7. While making posting in any ledger account, the name of that account should not appear either on the debit side or on the credit side of the account.

For example, in rent account, we cannot have To Rent Account or By Rent Account.

The account which is debited in journal, the posting in ledger will also be made on the debit side of that account and the account which is credited in the journal the posting in the ledger will also be on the credit side of that account. Suppose in the journal rent account is debited

and cash account is credited, then the posting will be made on the debit side of the rent account and credit side of the cash account.

LEDGER Exercises:

6. Prepare the Ledger the following the transactions in the books of *Geya Keerthi*.

2019	Rs.
Jan 1 Started business with cash	40,000
2 Purchased goods for cash	8,000
3 Sold goods for cash	7,000
5 Received cash from Murthy	1,000
18 Cash Paid to Murthy	500
21 Purchased goods from Y	14,000
31 Goods sold to Z	6,000

7. Prepare the Ledger the following transactions in the books of *Srinivas*.

2019	Rs.
March 1 Started business with	40,000
3 Bought goods from Prasad	32,000
6 Goods sold to Meena	12,000
11 Cash sales	5,000
13 Goods sold to Madan	5,000
19 Paid Prasad on account	3,000
24 Paid for Commission	1,000
31 Paid salaries	25,000

8. Pass the journal entries and prepare necessary ledger accounts 2019

Nov.1. Cash paid to Indraj	Rs. 5000
Nov.3. Paid to Rajani	Rs. 8000
Nov.4. Purchased furniture from sharma and company for cash	Rs. 30000
Nov.5. Received cash on sale of goods	Rs. 2000
Nov.8. Wages paid	Rs. 2000
Nov.10. Rent paid	Rs. 3000
Nov.15. Stationery expenses	Rs.600
Nov.18. Interest received	Rs. 2000
Nov.20. Goods distributed as free samples	Rs.500
Nov.28. Additional capital introduced	Rs. 150000

9. Prepare necessary ledger accounts and also pass the journal entries for the following transactions.

2019	Amount
Jan1: Mr.Akbar commenced business with cash	Rs. 100000
Jan5: Purchased goods for	Rs.10000
Jan8: Cash deposited into bank	Rs. 15000
Jan10: Cash withdrawn for personal use	Rs.1000
Jan12: Cash withdrawn from bank for personal use	Rs.3000
Jan13: Cash withdrawn from bank for office use	Rs.2000
Jan15: Purchased goods and payment made by cheque	Rs.8000
Jan18: Goods sold and cheque received	Rs.1000
Jan25: Purchased machinery from Ram&co for	Rs.7000
Jan29: Purchased machinery for cash	Rs.2000

10. Prepare the necessary ledger accounts and also pass the journal entries for the following transactions in the books of Miss. Princy.

2019	Amount
Jan1: Miss Princy commenced business with cash	Rs. 100000
Jan5: Rent paid	Rs. 15000
Jan8: Postage paid	Rs.3000
Jan12: Commission Received	Rs.600
Jan15: Interest	Rs.300
Jan18: Sold goods to Shyam	Rs.8000
Jan22: Received a cheque from shyam for the above transaction In full settlement of this account.	
Jan27: Goods stolen by thieves	Rs.2000
Jan27: Goods destroyed by fire	Rs.3000

11. Journalize the following transactions in the books of S.T. Ltd and post them into the ledger accounts

PARTICULARS	AMOUNT
Started business with cash	500000
Paid into the bank	25000
Goods purchased for cash	18000
Goods sold for Priya	10000
Purchased goods	15000
Trade discount 10%, Cash discount 5%	2000

Purchased furniture	15000
Bought 100 shares in A.S.Ltd @ 20/- per share & brokerage paid	100
Withdrawn from bank	10000
Cash received from Priya in full settlement of her account	9500

1.16 TRIAL BALANCE:

Meaning of Trial Balance

Balance is a statement, prepared with the debit and credit balances of ledger accounts to test the arithmetical accuracy of the books. If the totals of the debit and credit amount columns of the trial balance are equal, it is presumed that the posting to the ledger in terms of debit and credit amounts is accurate.

Preparing a trial balance for a company serves to detect any mathematical errors that have occurred in the double entry accounting system. Provided the total debts equal the total credits, the trial balance is considered to be balanced, and there should be no mathematical errors in the ledgers.

However, this does not mean there are no errors in a company's accounting system. For example, transactions classified improperly or those simply missing from the. System could still be material accounting errors that would not be detected by the trial balance procedure.

Features of Trial Balance

The features of trial balance are as follows:

1. The trial balance is prepared on a specific date. This is why, one use the word 'as on' with its heading.
2. Trial balance contains the list of all ledger accounts including cash account.
3. Trial balance may be prepared with the balances or totals or balances and totals of ledger accounts.
4. The total of the debit and credit column of the amount must be equal.
5. In case the debit and credit side of the trial balance are equal, one assume that the principles of 'Double Entry System' and the assumptions of accounting equation have been observed.
6. The difference between the debit and credit side of the trial balance points out that certain mistakes have been committed somewhere.
7. If both the debit and credit sides have the same total, it does not mean that there is no mistake in accounting.

Objectives of Trial Balance

The objectives of trial balance are as follows:

1. **Test of Arithmetical Accuracy:** Trial balance tests the accuracy of arithmetical calculation. If correct posting has been made from subsidiary books to ledger accounts and correct figures have been recorded and copied, the debit and credit total of the trial balance must tally.
2. **Summarized Information of Ledger Accounts:** Trial balance contains a list of all ledger accounts. It presents the names of ledger accounts and the amount of their debit and credit balance. The summarized position of ledger accounts can be obtained at a glance from the trial balance.
3. **Basis for Preparing Final Accounts:** The ultimate end of maintaining books of accounts is to ascertain the result of the business in term of profit and the value of different assets and liabilities. For this purpose, one prepares a profit and loss account and balance sheet on the basis of information supplied by the trial balance.
4. **Useful for Making Adjustments:** While making final accounts certain adjustments regarding closing stock, outstanding and prepaid expenses, accrued and unearned income are to be made. While identifying items for adjustments, one will have to study the information furnished by the trial balance.

Limitations of Trial Balance

Following are the limitations of trial balance:

1. Transaction has not been entered at all in the journal.
2. A wrong amount has been written in both columns of the journal.
3. A wrong account has been mentioned in the journal.
4. An entry has not at all been posted in the ledger.
5. Entry is posted twice in the ledger.

Methods of Preparing Trial Balance

The following methods can be used for preparing trial balance:

1. **Balance Method:** Trial balance, as its name itself points out, is prepared with the balance of -ledger accounts. Every ledger account has got the debit and credit side. At the end of a certain period ledger accounts are balanced. Excess of the total of the-debit side of an account over its credit side is known as debit balance and written in the debit column of the trial balance. In the same way, excess of credit side of an account over its debit side shows **credit balance** and will be written at the credit side

of the trial balance. The total of both the debit and credit side must be equal.

Trial Balance (Balance Method)

(as on Dec. 31.2019)

Ledger Accounts	L.F.	Dr.	Dr.
Cash account		4,325	—
Capital account		—	5,000
Purchases account		2,200	—.
Sales account		—	550
Prasad		—	1,200
Prem		300	—
Wages account		50	
Om		—	150
Interest account		15	—
Rent account		10	—
		6,900	6,900

2. **Total Method:** According to this method, the total of the debit and credit side of every account is separately written in the debit and credit column of the trial balance. The total of both the debit and credit must be equal. If it is not equal, there are definitely certain errors which should be located and rectified.

Trial Balance (Total Method)

Ledger Accounts	L.F.	Dr.	Cr.
Cash account,		5,100	775
Capital account		—	5,000
Purchases account'		2,200	—
Sales account		—	550
Prasad		—	1,200
Prem		500	200
Wages account		50	—
Om		50	200
Charanjeet		300	300
Interest account		15	—
Rent account		10	—
		8,225	8,225

3. **Total and Balance Method:** This Method presents both the balance and total method in the same trial balance. The amount column is divided between total and balance methods. Each method has further two columns of debit and credit. The total of the debit and credit under each method must be equal. There will be different totals according to the different methods but the total of debit and credit of each method will be equal.

Trial Balance (Total and Balance Method)

(as on Dec 31, 2019) Amount in Rs

Ledger Accounts	L.F.	Total		Balances	
		Dr	Cr	Dr	Cr
Cash account		5,100	775	4,325	—
Capital account		—	5,000	—	5,000
Purchases account		2,200	—	2,200	—
Sales account		—	550	—	550
Prasad		—	1,200	—	1,200
Prem		500	200	300	—
Wages account		50	—	50	—
Om		50	200	—	150
Charanjeet		300	300	—	—
Interest account		15	—	15	—
Rent account		10	—	10	—
		8,225	8,225	6,900	6,900

4. **Elimination of Equal Total Methods:** Those accounts whose debit totals and credit totals are equal are not incorporated in the trial balance. In fact such accounts do not have any balance at all. For example, in the above example the total of debit side of Charanjeet account and its total of credit side are the same 300. Thus, Charanjeet account will not be recorded in trial balance, in example given below:

Trial Balance (Elimination of Equal Total Method)
(as on Dec 31,2019)

Ledger Accounts	L.F.	Dr.	Cr.
Cash account		5,100	775
Capital account		—	5,000
Purchases account		2,200	—
Sales account		—	550
Prasad		—	1,200
Prem		500	200
Wages		50	—
Om		50	200
Interest account		15	—
Rent account		10	—
		7,925	7,925

The under mentioned points may be noted:

1. A trial balance is prepared as on a particular date which should be mentioned at the top.
2. In the second column the name of the account is written.
3. In the fourth column the total of the debit side of the account concerned or the debit balance, if any, is entered.
4. In the next column the total of the credit side or the credit balance is written.
5. The two, columns are totaled at the end.

The first and third columns need no explanation.

FORMAT OF TRIAL BALANCE:

Particulars	Debit Rs.	Credit Rs.
Capital		xxx
Purchases	xxx	
Purchase Returns		xxx
Sales		xxx
Sales Returns	xxx	
Carriage	xxx	

Wages	xxx	
All Expense and Losses	xxx	
Direct and Indirect Expenses	xxx	
All Incomes and Gains		xxx
All assets	xxx	
Current Assets, Fixed Assets, Intangible Assets and Fictitious Assets	xxx	
All Liabilities		xxx
Current Liabilities, Long-term Liabilities etc.		xxx
Discount Allowed	xxx	
Discount Received		xxx
Drawings	xxx	
Taxation paid	xxx	
Dividend paid	xxx	
Bad Debts and reserves	xxx	
Suspense A/c	xxx	
	xxx	xxx

TRIAL BALANCE:

1	Prepare Trial Balance from the following figures:	Rs.
	Opening stock	2,000
	Sales	21,000
	Purchases	15,600
	Returns Inwards	900
	Commission received	1,500
	Depreciation	1,200
	Machinery	20,000
	Debtors	5,000
	Creditors	4,400
	Discount allowed	300
	Capital	14,000
	Commission received	3,500

2. From the following Ledger Account balances prepare Trial Balances as on 31-12-2019.

	Rs.		Rs.
Opening Stock	15,600	Insurance	400
Freehold premises	30,000	Bad reserve	300
Plant and Machinery	9,000	Commission received	3,000
Wages	2,000	commission paid	1,000
Sundry debtors	12,000	Bad debts	300
Carriage inwards	80	Office Expenses	1,500
Carriage outwards	200	Salaries	2,000
Factory Expenses	1,600	Traveling Expenses	200
Royalty	200	Legal expenses	200
Purchase of machinery	15,000	Cash at Bank	840
Office Rent			1,400
Cash in hand	800	Capital	16,000
Loan taken	6,000	Discount allowed	800
Factory rent	800	Discount received	720
Net sales	66,000	Sundry creditors	4,000

3. Prepare a Trial Balance from the following Information.

	Rs.
Purchases	45,000
Debtors	60,000
Interest earned	1,200
Salaries	9,000
Sales	96300
Purchases returns	1,500
Wages	6,000
Rent	4,500
Sales returns	3,000
Bad debts written off	2,100
Creditors	36,600
Capital	31,800

Drawings	7,200
Printing and stationery	2,400
Insurance	3,600
Opening stock	15,000
Office Expenses	3,600
Furniture and fittings	6,000

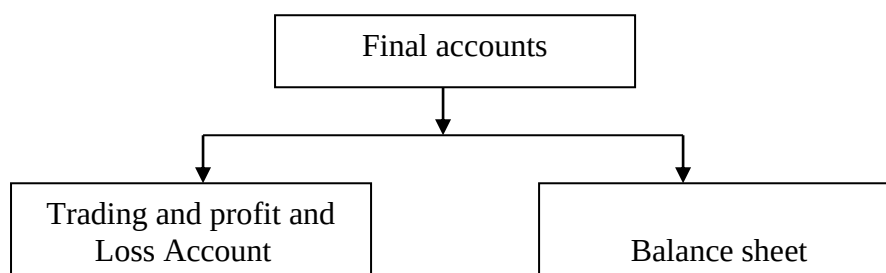
4. You are requested to prepare the Trial Balance as on 31-10-2019 from the given ledger account balance.

Particulars	Rs.
Capital	65,500
Creditors	18,200
Debtors	21,350
Cash in hand	6,750
Sales	120,000
Purchases	69,100
Cash at Bank	7,800
Machinery	35,000
Discount allowed	5,000
Discount received	3,200
Furniture	4,000
Bills Receivable	21,300
Salaries Outstanding	7,200
Wages	3,150
Insurance Prepaid	4,200
Rent	950
Bills Payable	4,500
Reserve for Bad Debts	3,250
Tax Outstanding	1,110
Interest on Investment	2,150
Drawings	1,510
Fixed Deposits	45,000

1.17 PREPARATION OF FINAL ACCOUNTS WITH ADJUSTMENTS

Trial balance proves the arithmetical accuracy of business transactions, but it is not the end. The businessman is interested in knowing whether the business has resulted in profit or loss and what the financial position of the business is at a given period. He wants to know the profitability and the financial soundness of the business. The trader can ascertain these by preparing the final accounts.

The final accounts are prepared at the end of the year from the trial balance. Hence the trial balance is said to be the connecting link between the ledger accounts and the final accounts.



Parts of Final Accounts:

The final accounts of business concern generally include two parts. They are:

- Trading Account
- Profit and Loss Account

This prepared to find out the net result of the business. The second part is Balance sheet which is prepared to know the financial position of the business. However manufacturing concerns, will prepare a Manufacturing Account prior to the preparation of trading account, to find out cost of production.

Trading Account: Trading Account is prepared to find out the profit between the selling price and cost price. Cost price is derived from direct expenditures or expenditures at factory level. All the direct expenditures are debited into the debit side of trading account and all the direct incomes are credited into the credit side of trading account.

Profit & Loss Account: All the indirect expenses are debited in the profit and loss account. Indirect expense are in the following heads.

1. Selling Expenses
2. Office expenses
3. Maintenance expenses
4. Financial expenses

All the Indirect incomes i.e. discount received commission received are credited to the Profit and Loss account. While we balance the profit and loss account, if the balance is in debit side it is called Net profit. The balance is the credit side it is called as Net loss. The Net profit is transferred to balance sheet liabilities side and added to the capital. If it is Net loss it will be deducted from capital.

Balance Sheet: A statement sets out the Assets and liabilities of a business firm and which serves to ascertain the financial position of the same on any particular date. The balance sheet has two sides. The left side shows the liabilities and capital. All the assets are shown on the right hand side.

PROFORMA FOR TRADING ACCOUNT:

Trading Account For the year ending 31st March.....

Dr.			Cr.		
Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
To Opening Stock		xxx	By sales	xxx	
To Purchase	xxx		Less: Returns Inward	xxx	xxx
Less Returns Outward	xxx	xxx	By Closing Stock		xxx
To Wages		xxx	By Gross Loss c/d (Transferred to P&L A/c)		xxx
To Frieght		xxx			
To Carriage Inwards		xxx			
To Cleaning Charges		xxx			
To Packing Charges		xxx			
To Dock dues		xxx			
To Power (factory)		xxx			
To Octroi Duty		xxx			
To Gross Profit c/d (transferred to P&L A/c)		xxx			
		xxx			xxx

Proforma of Profit and Loss Account

Profit and Loss Account of M/s X for period ending

Dr.

Cr.

Particulars	Rs.	Particulars	Rs.
To Administrative Expenses		By Gross profit b/d	xxx
To Office Salaries	xxx	By Discount Received	xxx
To Office Rent, rates and Taxes	xxx	By Commission received	xxx
To Office lighting	xxx	By Interest received	xxx
To Office Insurance	xxx	By Rent receive	xxx
To Printing & stationery	xxx	By Dividends	xxx
To Postage and Telegrams	xxx	By Income from Investments	xxx
To Legal expenses	xxx	by Reserve for discount on Creditors	xxx
To Audit fee	xxx	By Bad Debts recovered	xxx
To General Expenses	xxx	By Apprentice premium	xxx
To Repairs & Renewals	xxx	By profit on sales of asset	xxx
To Bank charges & commission	xxx	By Sundry Incomes	xxx
		By Net Loss	xxx
To Selling and Distribution Exp.			
To Godown Rent & Insurance	xxx		
To Packing expenses	xxx		
To Advertising	xxx		
To Agents Commission	xxx		
To Bad debts	xxx		
To Traveling Expenses	xxx		
To Discount allowed	xxx		
To Brokerage	xxx		
To Free samples	xxx		
To Salesmen salaries	xxx		
To Carriage outward	xxx		
To Delivery Van expense	xxx		
To Financial Expenses			
To Discount allowed	xxx		
To Interest on capital	xxx		
To Interest on loans	xxx		

To Maintenance and Depreciation			
To Repairs to Building	xxx		
To Repairs to Furniture	xxx		
To Repairs to Machinery	xxx		
To Depreciation on various Assets, such as Buildings, Machinery, Furniture etc.	xxx		
To Provision of Reserve for any other expense	xxx		
To Net Profit (transferred to capital account)	xxx		
	xxx		xxx

Format of Balance Sheet:

Capital and Liabilities	Rs.		Assets	Rs.
Current Liabilities			Current Assets	
Sundry Creditors	xxx		Cash in hand	xxx
Bills Payable	xxx		Cash at Bank	xxx
Bank Overdraft	xxx		Bills receivable	xxx
Mortgage	xxx		Sundry debtors	xxx
Outstanding expenses	xxx		Investments	xxx
Income received in advance	xxx		Closing stock	xxx
Loans			Unexpired expenses	xxx
Short term loans	xxx		Accrued Income	xxx
Long terms loans	xxx		Fixed Assets	
Reserve Fund	xxx		Furniture and Fittings	xxx
Capital	xxx		Plant and Machinery	xxx
Opening Balance	xxx		Land and Buildings	xxx
Add: Additional			Leasehold property	xxx
Capital introduced	xxx		Freehold property	xxx
Interest on capital	xxx		Motor vehicles	xxx
Net Profit	xxx		Intangible or Invisible Assets	
	xxx		Patents	xxx
Less: Drawings	xxx		Trade Marks	xxx

Interest on Drawings	xxx		Copy Rights	xxx
Income tax	xxx		Goodwill	xxx
Insurance premium of proprietor	xxx	xxx		xxx

Preparation of Final Accounts with Adjustments:

We are preparing the Trading account, Profit & loss account is prepared to know the true profit or loss for a given period. The purpose of Balance sheet is to know the financial position at a given period. The true profit can be arrived after taking into account of the pending bills. So, to get a True and fair view of business, the real profit or loss can be arrived after taking all adjustments.

The common adjustments:

Sl. No.	Adjustments
1	Closing Stock
2.	Depreciation
3	Appreciation of Assets
4.	Outstanding Expenses
5.	Prepaid expenses
6.	Accrued Income
7.	Incomes received in advance (Unearned Income)
8.	Interest on capital
9.	Interest on drawings
10.	Interest on Investments
11.	Interest on Loans
12.	Interest on Loans (Advances)
13	Bad Debts
14.	Provision for Baddebts
15	Provision for bad debts & Doubtful debts (where already

	provision exists)
16	Provision for discount on debtors
17	Provision for discount of creditors
18	Accidental loss of stock (Not insured)
19	Accidental loss of Stock (Insured partial admission of claim)
20	Loss of Assets by fire (Not Insured)
21	Accidental Loss of Asset (Insured)
22	Outstanding Manager's Commission
23	Goods taken by Proprietor for personal use
24	Goods given as charity
25	Wages for construction of Building was Debited to Wages Account

TREATMENT OF ADJUSTMENTS IN FINAL ACCOUNTS:

Sl. N.	Adjustments	Trading & Profit and Loss Account	Balance sheet
1	Closing Stock	Posted at the credit side of Trading A/c	Shown at the assets side.
2.	Depreciation	Posted at the debit side of Profit and Loss Account	Shown as deduction from concerned asset.
3	Appreciation of Assets	Posted at the credit side of profit and Loss account	To be added to concerned asset.
4.	Outstanding Expenses	Added to the concerned expense at the debit side of Profit and Loss or Trading Account	Shown at the liabilities side
5.	Prepaid expenses	Deducted from the concerned expense at the debit side of Profit and Loss A/c	Shown at the Assets side.
6.	Accrued Income	Added to the concerned income at the credit side of Profit and Loss A/c	Shown at the Asset side
7.	Incomes received in advance (Unearned Income)	Deducted from concerned Income at the credit side of Profit and Loss account	Shown at the liabilities side
8.	Interest on capital	Posted at debit of Profit and Loss A/c	Added to capital at the liabilities
9.	Interest on drawings	Posted at the credit side of Profit and Loss account	Deducted from capital at the Liabilities
10.	Interest on Investments	Posted at Credit side of Profit and Loss account	Added to the investment at Asset side
11.	Interest on Loans	Posted at the debit side of Profit and Loss Account	Added to loan at the Liabilities side
12.	Interest on Loans (Advances)	Posted at the credit side of Profit and Loss account	Added to loan at the Asset side
13	Bad Debts	Posted at the debit side of Profit and Loss Account	Deducted from debtors at the assets side.
14.	Provision for Bad debts	Posted at the debit side of Profit and Loss Account	Deducted from debtors at the assets side.
15	Provision for bad debts & Doubtful	If new provision is more than old provision, the difference is to be	New provision is to be deducted from Debtors at

Sl. N.	Adjustments	Trading & Profit and Loss Account	Balance sheet
	debts (where already provision exists)	debited to profit and loss account and vice versa	the Assets side of Balance sheet.
16	Provision for discount on debtors	Posted at the debit side of Profit and Loss account	Deducted from debtors at the Assets side.
17	Provision for discount of creditors	Posted at the credit side of Profit loss account	Deducted from creditors at the Liabilities side
18	Accidental loss of stock (Not insured)	Posted at the credit side of Trading Account and also at the debit side of Profit and Loss account	No Effect
19	Accidental loss of Stock (Insured partial admission of claim)	Insurance company account will be shown with the amount of claim admitted by the company. Loss of stock will be shown with the amount of claim not admitted at the credit side of Trading Account. Loss of stock will also be shown at the debit side of Profit and loss account	Amount due from insurance company will be shown at the Asset side
20	Loss of Assets by fire (Not Insured)	Loss by fire account will be shown at Debit side of Profit and loss account	Loss will be deducted from the assets at Assets Side.
21	Accidental Loss of Asset (Insured)	Loss by fire account will be shown at the Debit side of profit and loss account	Amount due from Insurance company will be shown at the Asset side. Loss by fire account will be deducted from Asset.
22	Outstanding Manager's Commission	Posted at the debit side of Profit and Loss Account	Shown at the Liabilities side
23	Goods taken by Proprietor for personal use	Amount of goods taken by Proprietor will be deducted from the purchases in Trading Account	Amounts of Goods taken by Proprietor will be deducted from the capital at Liabilities side
24	Goods given as charity	Deducted from the purchase at debit side of Trading Account	Deducted from Capital at the Liabilities side

Sl. N.	Adjustments	Trading & Profit and Loss Account	Balance sheet
25	Wages for construction of Building was Debited to Wages Account	The amount will be deducted from Wages at the debit side of Trading Account	The amount will be added to building account at the asset side

FINAL ACCOUNT EXERCISES:

1. From the following information prepare Trading Account.

	Rs.
Opening stock	5,570
Purchases	13,816
Sales	15,284
Purchases Returns	390
Returns Inwards	524
Wages	1,400
Import Charges	252
Closing stock	8,880

2. Prepare Trading Account of *Raji&Co.* for the year ended 31 st March 2019

	Rs.		Rs.
Purchases	42,500	Wages	5,000
Manufacturing Expenses	1,950	opening stock	10,000
Carriage inwards	100	Sales returns	50
Sales	67,500	Purchases returns	200
Freight and duty	5,000	Stores consumed	200
Power	300	Closing stock	12,000

3. From the following balances prepare a profit and loss account for the ending 31-12-2019

	Rs.
Salaries	3,000
Carriage outwards	1,000
Discount allowed	500
Commission allowed	1,500

Bad debts	1,000
Repairs	1,000
Advertisement	1,000
Audit fee	500
General charges	1,000
Postage	1,000
Printing and stationery	1,500
Commission received	1,000
Rent received	1,000
Insurance	1,000
Office electricity	500
Gross profit	24,000

4. From the following ledger balances prepare a profit and loss account of *Genetic sports company* for the ending 31-12-2019

	Rs.
Rent paid	3,000
Salaries	4,000
Commission paid	1,000
Discount paid	1,000
Advertisements	1,000
Telephone charges	1,000
Interest paid on loans	2,000
Bad debts	1,000
Telephone charges	1,000
Printing and stationery	1,000
Office Insurance	1,000
Postage	500

The Gross profit was 40% of sales and sales amounted to Rs. 1,00,000

5. From the following balances extracted at the close of the ended 31st March, 2018, Prepare Profit and Loss Account as at that date :

	Rs.		Rs.
Gross Profit	51,000	Discount (Dr)	500
Carriage outward	2,500	Apprentice Premium (Cr)	1,500
Salaries	5,500	Printing & stationery	250

Rent	4,100	Rates & taxes	350
Fire Insurance Premium	900	Travelling Expenses	200
Bad Debts	2,100	Sundry trade Expenses	300
Rent received	1,000		

6. From the following particulars, prepare a Balance Sheet as on 31st March, 2019

	Rs.		Rs.
Capital	50,000	Loan to smith	5,000
Business Premises	55,000	Investments	3,000
Furniture & Fixtures	2,500	Cash in hand	200
Bills receivable	3,500	Cash at Bank	3,500
Bills payable	2,500	Drawings	3,000
Sundry Debtors	20,000	Net Profit	38,900
Sundry Creditors	15,800	Closing Stock	7,000
Machinery	4,500		

7. The following balances are extracted from the books *Kautilys & Co.* On 31st March, 2019.

Prepare the Trading and Profit and Loss Account and a Balance Sheet as on that date :

	Rs.		Rs.
Opening Stock	500	Commission (Cr.)	200
Bills receivable	2,250	Returns Outward	250
Purchases	19,500	Trade Expenses	100
Wages	1,400	Office Fixtures	500
Insurance	550	Cash in hand	250
Sundry Debtors	15,000	Cash at Bank	2,375
Carriage Inward	400	Rent & Taxes	550
Commission (Dr.)	400	Carriage outward	725
Interest on capital	350	Sales	25,000
Stationery	225	Bills payable	1,500
Returns Inward	650	Creditors	9,825
Capital	8,950		

The Closing Stock was valued at Rs. 12,500.

8. Prepare Trading and Profit and Loss account for the year ended 31.12.2019 and a Balance Sheet as on that date from the following Trial Balance.

	Debit Rs.	Credit Rs.
Purchases	45,000	
Debtors	60,000	
Interest earned		1,200
Salaries	9,000	
Sales		96,300
Purchases returns		1,500
Wages	6,000	
Rent	4,500	
Sales returns	3,000	
Bad debts written off	2,100	
Creditors		36,600
Capital		31,800
Drawings	7,200	
Printing and stationery	2,400	
Insurance	3,600	
Opening stock	15,000	
Office Expenses	3,600	
Furniture and fittings	6,000	
	1,67,400	1,67,400

Adjust the following

(a) Closing stock Rs. 20,000

(b) Write off furniture @ 15% per annum

9. Prepare Trading, Profit & Loss A/c and Balance sheet of Sachin as 31.03.2019 from the following trial balance.

Trial Balance on 31.03.19

Particulars	Debit Rs.	Credit Rs.
Cash	540	-
Bank	12,630	-
Purchases	140,675	-
Sales	-	258,780
Returns	2,680	1,500
Wages	20,480	-
Fuel & Power	4,730	-
Carriage on Sales	3,200	-
Carriage on Purchases	2,040	-
Stock (1st April)	25,760	-
Buildings	50,000	-

Machinery	20,000	-
Patents	7,500	-
Salaries	15,000	-
General Expenses	13,000	-
Insurance	600	-
Drawings	15,245	-
Capital	-	82,000
Sundry Debtors & Creditors	14,500	6,300
Total	348,580	348,580

Adjustments:

Stock on Hand on 31-3-2019 was Rs.26,800/-.

Machinery is to be depreciated @ 10% & 20% appreciated on patents.

Salaries unpaid Rs.1, 500/-.

Insurance included a Premium of Rs.340/- P.A. Paid up to Sep., 2019.

Create a Provision for doubtful debts at 5% on debtors.

Purchases include a Purchase of goods costing Rs.1,675/- for personal use of Sachin.

- 10. The following trial balance belongs to Amazed Khan with the help of which prepare trading and profit and loss A/c and balance sheet.**

	Dr.	Cr.
Drawing and capital	18,000	1,00,000
Furniture	32,500	
Equipment	15,000	
Loan payable		15,000
Interest on loan	900	
Sales		1,00,000
Purchases	75,000	
Opening stock(1.1.19)	25,000	
Trade expenses	15,000	
Wages	2,000	
Insurance	1,000	
Commission received		4,500
Sundry debtors	28,100	
Cash at bank	20,000	
Sundry creditors		10,000
Interest received		3,000
	2,32,500	2,32,500

Adjustments:

- i. Closing stock as on 31st December 2019, was valued at Rs.60,000
- ii. Wages were outstanding by Rs.500
- iii. Provide depreciation @ 10% on furniture.

11. From the following trail balance of Ramesh, prepare trading account and profit and loss account for the year ended 31st march, 2020 and balance sheet as on the date.

Trail balance of Ramesh as on 31st march 2020.

PARTICULARS	Dr	Cr
Buildings	50000	
Capital		96000
Purchases and sales	15000	40450
Opening stock (1/4/2019)	8000	
Debtors and creditors	10000	5000
Drawings	3500	
Sales returns & purchase returns	1000	500
Freight	3250	
Office salaries	10000	
Wages	1200	
Postage & telegrams	1000	
Machinery	20000	
Bills receivable & bills payable	9000	3000
Advertisement	4000	
Cash in hand	5000	
Loose tools	4000	

Adjustments:-

1. Closing stock was valued at Rs. 10000
2. Depreciate building by 5% and loose tools are revalued at Rs. 3500
3. Interest on capital is at 5% and on drawings is at 10%

12. From the following trail balance prepare trading and profit and loss account for the year ended 31st march 2019 and balance sheet as on that date.

Trail balance as on 31st march 2019

Particulars	Rs.	Particulars	Rs.
Printing & stationery	1600	Bills payable	10000
Trade expenses	750	Provision for	
Doubtful debts	600		
Freehold property	38000	Sales	180000
Cash at bank	21000	Discount received	4000
Cash in hand	3000	Capital	134800
Purchases	150000	sundry creditors	30000
Opening stock	45000	interest on investment	200
Audit fees	200	commission received	3500
Investments			
at 10%	4000	purchase returns	1000
Sundry debtors	35000		
Wages	22000		
Salaries	12000		
Income tax	1100		
Discount allowed	6000		
Sales returns	400		
Bills receivable	2500		
Furniture	2050		
Rent,rates, taxes	4500		
Drawings	15000		

Adjustments:-

1. Provide 1500/- for further bad debts and doubtful debts at 5% on Sundry debtors.
2. Make provision for discount on debtors at 3% of debtors and Reserve for discount on creditors at 3%.
3. Outstanding wages Rs. 6000
4. Closing stock Rs. 60000
5. Provide 5% depreciation on freehold property
6. Charge interest on capital 6% and interest on drawings Rs. 500